ExxonMobil or Chevron When the War Premium Fades

Investor / Analyst Report · Energy: U.S. Integrated Oil
Data and analysis current through October 13, 2026

***Abstract*—**Brent crude trades near $105 because of the Iran conflict and disruption around the Strait of Hormuz, and ExxonMobil (XOM) and Chevron (CVX) shares are both up roughly 30 to 40 percent in 2026. The U.S. Energy Information Administration (EIA) expects most of that premium to fade by late 2027. This report asks which major is the better holding for an investor who wants integrated oil exposure without betting on the war lasting. Using a normalized cash flow model built on 2025 results and each company's disclosed oil price sensitivity, Chevron offers the higher free cash flow (FCF) yield at the EIA's late 2027 price of $74 (5.2% versus 4.9%) and in three of our four scenarios, even though the model gives it no credit for growth at Tengiz. Exxon is the lower-risk stock: its FCF falls 33% from the war case to the peace case versus 46% for Chevron, and it covers its dividend more comfortably at $60. **We prefer CVX over XOM.** The call flips toward Exxon if oil settles below about $67 or if Chevron's third quarter results fail to show the cash flow our conservative model assumes.

1 THE QUESTION AND THE RECOMMENDATION

Investment question. For an investor adding a position in a U.S. integrated oil major today, is ExxonMobil or Chevron the better risk-adjusted choice, given that current oil prices carry a war premium that most forecasters expect to shrink?

Recommendation: prefer Chevron over ExxonMobil. This is a relative call, not a claim that either stock is cheap. Three findings drive it. First, after normalizing away the war windfall, Chevron generates more free cash flow per dollar of market value: 5.2% versus 4.9% at $74 Brent, and more in every scenario except a glut below the EIA's path. Second, that result is conservative for Chevron. The model leaves out its Tengiz expansion, and management says its breakeven is below $50, about $10 under our estimate. Third, Chevron pays the higher

dividend (3.3% versus 2.4%), and its dividend stays covered down to about $60 Brent. The cost of this choice is risk: Chevron is more exposed to falling oil, and Exxon has a hedge Chevron lacks. Roughly 20% of Exxon's 2025 production came from Qatar and the UAE [4], so if the conflict ends, oil falls but those barrels come back.

2 WHY THIS QUESTION, WHY NOW

Brent closed at $71.32 on February 27, 2026, the last trading day before the conflict began, and passed $100 by mid-March [20]. It averaged about $104 in the second quarter [14] and $114 in September, and traded near $105 on October 13 [13][21]. The EIA's October outlook forecasts Brent at $105 in the fourth quarter of 2026, $84 on average in 2027, and $74 by the fourth quarter of 2027. That path assumes about 4.5 million barrels per day of Middle East output stays shut in for now, with most of it returning by mid-2027 [13]. The EIA's own baseline, in other words, is that today's price is temporary.

Equity investors have priced the windfall aggressively. By late July, Chevron was up 29% for the year and Exxon about two points ahead of it [19]. With both companies reporting third quarter results at the end of October, the question for a new buyer is less about which company is better run and more about which one still earns its share price when $105 oil becomes $74 oil.

3 THE TWO COMPANIES

Table 1 sets out the inputs used throughout. Market values use second quarter diluted share counts (for Exxon, implied by its reported EPS). Exxon is the larger, more diversified business, with bigger refining and chemicals operations. Chevron completed its $53 billion acquisition of Hess on July 18, 2025, gaining a 30% stake in Guyana's Stabroek block [18]. Because Hess was only in Chevron's numbers for about five months of 2025, Chevron's 2025 cash flow understates its current scale; Section 4 adjusts for that.

The exposures differ sharply. Exxon's Qatar LNG and UAE assets were disrupted from March, and the company's own earnings bridges show Middle East volumes cutting upstream earnings by $1.28 billion in the first half versus 2025, about $1.03 billion of it in the second quarter [4][5]. Chevron's direct regional exposure is the Saudi Arabia and Kuwait Partitioned Zone, about 1% of second

quarter output, plus its Leviathan gas field off Israel, which was shut for 33 days and restarted on April 2 [8][17].

Table 1—Key inputs. Sources in brackets. Cash flow (CFO) is operating cash flow excluding working capital.

Item	XOM	CVX
Share price, Oct 13, 2026 [16]	$173.24	$217.73
Diluted shares, Q2 2026 [1][6]	4.17B	1.98B
Market value	$722B	$430B
Annual dividend at current rate [1][8]	$17.2B	$14.0B
Dividend yield	2.4%	3.3%
2025 CFO [2][7]	$59.7B	$34.9B
2026 capex guidance [2][9]	$27–29B	$18–19B
Buyback plan / pace [2][11]	$20B	$10–20B / ~$11B
Mgmt. sensitivity per $1 Brent [3][9]	~$0.70B	~$0.60B
Middle East share of output [4][17]	~20%	~1%

4 METHOD: NORMALIZING CASH FLOW

4.1 Why not just annualize the latest quarter

The obvious shortcut is to multiply second quarter cash flow by four. That gives $102.6 billion for Exxon and $78.8 billion for Chevron. We tested whether oil prices alone explain those figures. Q2 Brent averaged about $103.50 versus $69.10 in 2025 [14][15]. Backing out that $34.40 difference with each company's own sensitivity still leaves $78.5 billion for Exxon and $58.2 billion for Chevron at 2025 oil prices, compared with actual 2025 cash flow of $59.7 billion and $34.9 billion. Roughly $19 billion (Exxon) and $23 billion (Chevron) of the run rate is unexplained by crude. Part of it is real growth, chiefly Hess for Chevron. Much of it is the war itself. Refining margins spiked, and Exxon's own guidance puts the earnings effect of each $1 per barrel of refining margin at about $800 million a year, more than its $700 million per $1 of Brent [5]. Those margins should normalize along with crude. Annualizing Q2 would treat a wartime quarter as the new normal, so we reject it as a base case.

4.2 The model

We start from 2025 operating cash flow, a year with no war premium (Brent $69.10), and move it to each scenario price using the company's disclosed sensitivity: about $0.70 billion per $1 for Exxon [3] and $0.60 billion for Chevron [9]. Cash flow at price P is the 2025 base plus sensitivity times (P minus $69.10). For Chevron we add the missing part of Hess. Hess reported $6.35 billion of 2024

cash flow before working capital at roughly $80 Brent [12]. Adjusting that to $69 with an assumed $0.10 billion per $1 (our assumption, not a sourced figure; zero or double would move the adjustment by about $0.6 billion and Chevron's breakevens by about $1) and taking the 55% of 2025 that preceded the deal gives +$2.9 billion, for a Chevron base of $37.8 billion. Free cash flow subtracts the capex guidance midpoint for Exxon ($28 billion) and $18.5 billion for Chevron, which guided to the low end of its range [9]. Exxon plans $20 billion of buybacks, 2.8% of its market value. To compare like with like, we test Chevron at the same 2.8%, about $12 billion, which sits inside its $10 to $20 billion range and slightly above its first half pace of $5.5 billion [11].

We run four Brent scenarios: a post-war glut at $60, the EIA's late 2027 price of $74, its 2027 average of $84, and the current $105 if the war persists. We treat $74 as one input, not a prediction. The EIA raised its fourth quarter 2026 forecast by $14 in a single month [13], so its forecasts are moving quickly, and the $60 and $84 cases bracket it on both sides. In the war case only, Exxon's cash flow is reduced by $4.1 billion a year (four times the Q2 loss) because its Middle East volumes stay offline. The 2025 base already includes those volumes, so the peace cases assume they return.

Assumptions to keep in view. Both companies' sensitivities are management estimates. Exxon's is an upstream figure, and we treat it as a cash flow figure. The model gives neither company credit for growth after 2025 other than Hess. That understates both, and it understates Chevron more, because its Tengiz expansion ramped up during 2025.

5 RESULTS

***Table* 2**—Annual free cash flow and cash left after dividends, before buybacks. Author's model.

Scenario	XOM FCF	XOM after div.	CVX FCF	CVX after div.
Glut, $60	$25.3B	$8.1B	$13.8B	$-0.2B
Peace, $74	$35.1B	$17.9B	$22.2B	$8.2B
EIA 2027, $84	$42.1B	$24.9B	$28.2B	$14.2B
War, $105	$52.7B	$35.5B	$40.8B	$26.8B

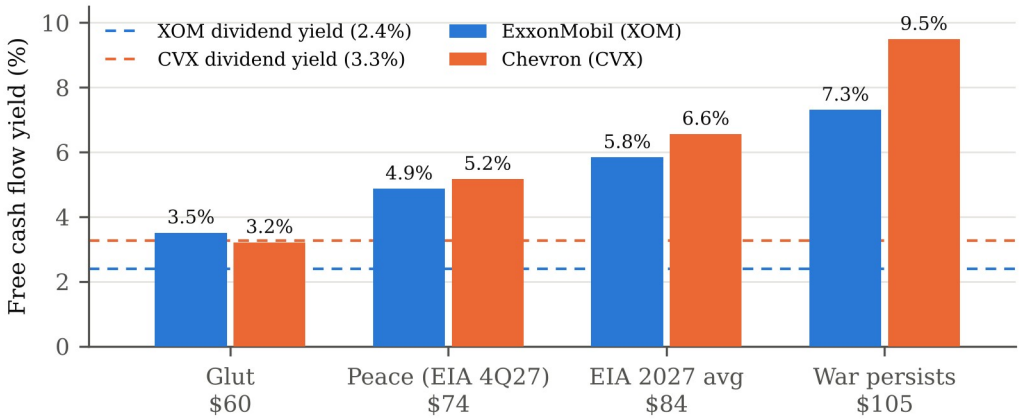


Figure 1—Free cash flow yield (FCF divided by market value) under four Brent scenarios, with each stock's dividend yield. Author's model; inputs from Table 1.

Figure 1 and Table 2 show the core trade-off. At $74 Chevron yields 5.2% against Exxon's 4.9%, and its lead widens as oil rises: 6.6% versus 5.8% at $84 and 9.5% versus 7.3% if the war persists. Exxon wins only in the $60 glut (3.5% versus 3.2%). The other side of the trade is volatility. Moving from war to peace, Chevron's free cash flow falls from $40.8 billion to $22.2 billion (down 46%), while Exxon's falls from $52.7 billion to $35.1 billion (down 33%). At $60, Exxon has $8.1 billion left after its dividend, while Chevron roughly breaks even on its $14.0 billion dividend.

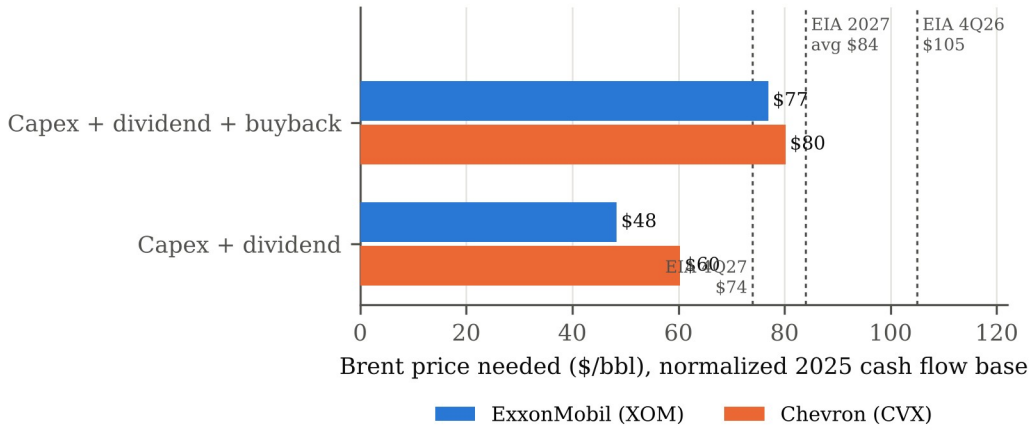


Figure 2—Brent price at which normalized cash flow covers capex and the dividend, and capex, dividend and buyback, against EIA forecast prices [13]. Author's model.

Figure 2 restates the same results as breakevens. Exxon covers capex and its dividend at about $48 Brent and its full $20 billion buyback at about $77. Chevron needs about $60 for capex and dividend, and $80 to add a buyback of the same 2.8% size. Both full payout programs need more than the EIA's $74 late 2027 price, so investors should expect buybacks to shrink or be funded from the balance sheet. Exxon has done the latter before: in 2025 it distributed $37.2 billion against $26.1 billion of free cash flow [2]. Chevron's management targets a capex-plus-dividend breakeven below $50 [10]. Our estimate is about $10 higher, mostly because we exclude growth since 2025. If management is closer to right, Chevron's lead is larger than Figure 1 shows; if we are, it still leads at every price above about $67.

6 ALTERNATIVES CONSIDERED

The case for Exxon. Exxon is the steadier stock. Its cash flow is less sensitive to oil (0.10% of market value per $1 of Brent versus 0.14% for Chevron), it falls less when the war premium fades, and its dividend is well covered at $60. Its Middle East volumes act as a hedge, since they return just as prices fall. An investor who expects oil below about $67 after the war, or who cares most about dividend safety, should prefer Exxon. We do not, because the EIA path and Chevron's own planning range ($60 to $80 for its buyback guidance [10]) both sit above that level, and Exxon's lower risk comes with a lower yield.

Owning neither. Both stocks have rallied on a windfall the EIA calls temporary, and a peace-case FCF yield near 5% is not a margin of safety. An investor with no mandate to hold energy could reasonably wait for a lower entry point. Our recommendation is aimed at the investor who wants the exposure and has to choose between the two.

7 RISKS AND WHAT WOULD CHANGE THE CALL

Chevron's growth may disappoint. The recommendation leans on Chevron's cash flow holding up after the Hess integration. If its third quarter cash flow, adjusted for Brent, implies a normalized base below our $37.8 billion, its yield advantage shrinks or disappears. This is the first thing we would check after the late October reports.

Exxon's hedge could pay out sooner. A fast ceasefire would hit Chevron harder while returning Exxon's Middle East volumes. If those volumes never return,

though, Exxon's peace-case yield falls to about 4.5% and Chevron's lead widens. A full-quarter Hormuz closure would cut Exxon's Middle East output by about 750,000 barrels of oil equivalent a day versus 2025 [5].

Oil can overshoot downward. Once the 4.5 million barrels per day of shut-in output returns, a glut below $60 is plausible. That is the scenario where Exxon wins, and it would hurt both stocks in absolute terms. Chevron's Tengiz output also depends on the CPC pipeline through the Black Sea, which has been intermittently disrupted [17].

Model risk. The 2025 cash flow figures, the Hess adjustment and the sensitivities are the inputs the conclusion depends on most. A $1 billion error in a company's base moves its breakevens by about $1.4 (Exxon) to $1.7 (Chevron) a barrel.

8 CONCLUSION

At today's prices the market is valuing both majors partly on wartime cash flows. Once those cash flows are normalized, Chevron offers more free cash flow and a higher dividend per dollar invested, even before crediting growth our model leaves out. Exxon is the safer stock if oil collapses, and investors who expect that outcome should own it instead. For the investor who wants integrated oil exposure and accepts the EIA's path, we prefer Chevron, and we would revisit the call after both companies report third quarter results. We would not recommend either stock to an investor who does not need energy exposure until the price of entry reflects peace-case cash flows.

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